

Cornerstone Classical Academy

5-Year Financial Overview for Board Review

Prepared March 29, 2026

 **Financial Outlook: The financial outlook is stable but has areas to monitor.**

6 health dimensions are in good standing, 2 should be monitored.

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This summary is generated from the school's financial model for board discussion purposes.

Financial Outlook at a Glance

The financial outlook is stable but has areas to monitor. 6 health dimensions are in good standing, 2 should be monitored.

Cash Position: Cash remains positive through the full 5-year projection

Financial Overview

Cornerstone Classical Academy projects \$3,111,399 in Year 5 revenue with a 30.0% net margin. There is 1 area to strengthen, and the recommendations below will help you build a more compelling financial story. Cash flow remains positive over the full 5-year period.

[~] Lender Readiness: Needs Work

[~] Biggest Strength: Strong Year 5 net income

[~] Biggest Risk: No major red flags detected, so continue refining assumptions as you gather real data.

[~] Cash Runway: 60+ months

School Overview

Cornerstone Classical Academy is a Operating Private School organized as a 501(c)(3) Nonprofit with a Tuition-Based funding profile.

5-Year Financial Projection

The model reaches break-even in Year 1. Year 5 change in net assets is projected at \$1.2M (37.0% margin).

[+] Revenue per Student (Year 1): \$14,128

[!] Cost per Student (Year 1): \$14,284

[~] Staffing Cost (% of Revenue): 63.6%

[~] Operating Cost (% of Revenue): 30.4%

[~] Net margin (Year 1): 6.0%

[+] Net margin (Year 5): 30.0%

5-Year Change in Net Assets Projection

Year	Students	Revenue	Expenses	Change in Net Assets	Margin
Year 1	100	\$1.4M	\$1.3M	\$101K	7.2%
Year 2	125	\$1.8M	\$1.6M	\$223K	12.5%
Year 3	155	\$2.3M	\$1.7M	\$550K	24.2%
Year 4	180	\$2.7M	\$1.8M	\$872K	32.3%
Year 5	200	\$3.1M	\$2.0M	\$1.2M	37.0%

Financial Health Assessment

Across 8 health dimensions: 6 healthy, 2 on watch, 0 at risk.

[+] viability: Healthy
 [+] liquidity: Healthy
 [-] staffing burden: Watch closely
 [+] facility burden: Healthy
 [+] debt affordability: Healthy
 [+] revenue concentration: Healthy

Health Dimensions

Dimension	Status	Details
Viability	Healthy	The model reaches net income early and sustains strong margins through Year 5.
Liquidity	Healthy	Cash stays positive throughout the projection and reserves exceed 3 months of expenses.
Staffing Burden	Watch closely	Staffing at 64% of revenue is within range but leaves limited margin for other costs.
Facility Burden	Healthy	Facility costs at 6% of revenue are well-managed and leave budget for programs.
Debt Affordability	Healthy	DSCR of 1.84x provides comfortable coverage of debt payments with room to spare.
Revenue Concentration	Healthy	Revenue is anchored to enrollment-driven income — the strongest foundation for a school model. A focused revenue stream is a strength when backed by dependable demand.
Days Cash	Watch closely	63 days of cash on hand is above the minimum but below the 90-day target. A large unexpected cost could create a cash crunch.
Reserve Strength	Healthy	13.0 months of reserves by Year 5 — a strong buffer for unexpected costs.

Key Strengths

The model demonstrates 5 notable strengths.

[+] Revenue per Student (Year 1): \$14,128
 [+] Net margin (Year 5): 30.0%
 [+] 5-Year Revenue Growth: 120.2%
 [+] Capacity Utilization (Year 5): 80.0%
 [+] Debt Service Coverage Ratio (Year 1): 1.84x
 [+] Philanthropy (% of Revenue): 9.2%

What to Watch

No significant financial risks have been identified at this time.

Recommended Next Steps

1. Plan for Tuition Collection & Discount Risk

Private schools face collection risk from late payments, withdrawals, and financial aid shortfalls. With 90.8% of revenue from tuition, build a 5–10% bad debt reserve into your budget. Factor in tuition discount rates for merit/need-based aid and maintain clear enrollment contracts with payment terms.

This strengthens the model and reduces future risk.

2. Address Cash Reserve Deficit from Prior Year

Last year ended with \$145,000 in cash, only 1.5 months of expenses. Building reserves to 3+ months should be a priority. Consider a bridge line of credit while growing into net income.

Addressing this will materially improve financial position.

3. Document Your Growth Strategy

Great projections are backed by a clear plan. Document your marketing strategy, enrollment pipeline, and community outreach, as this is the roadmap that turns your numbers into reality.
This strengthens the model and reduces future risk.

Scenario Comparison

The model includes 3 scenarios showing how changes in key assumptions affect Year 5 outcomes.

Scenario	Y5 Revenue	Y5 Net Income	Y5 Margin
Conservative (flat enrollment Y2-3)	\$2.7M	\$903K	33.6%
Base Case	\$3.1M	\$1.2M	37.0%
Aggressive Growth (+15% enrollment, +3% tuition)	\$3.7M	\$1.5M	39.4%